

ratio rose above 5:1. This ratio measures the risk that a company takes (premiums written) compared to its policyholders' surplus (capital that is used to pay claims). Because insurance regulators were so impressed with GEICO, the company was allowed to exceed the industry average ratio.

By the late 1960s, GEICO's fortunes were beginning to dim. In 1969, the company reported that it had underestimated its reserves for that year by \$10 million. Instead of earning \$2.5 million, the company actually posted a loss. The adjustment to income was made the next year, but again the company underestimated reserves—this time by \$25 million—so 1970's underwriting profit instead showed a disastrous loss.

The revenues an insurance company receives from policyholders are called earned premiums. From these premiums, the company promises to provide coverage to the automobile driver during the year. Costs to an insurance company include insured losses, which are claims brought by drivers, and loss expenses, the administrative costs of settling the claims. These total costs must reflect not only payments made during the year, but estimates of claims yet to be paid. Estimates, in turn, are divided into two categories: claim costs and expenses, which the company expects to pay during the year, and adjustment reserves, set aside to cover underestimated reserves from earlier years. Because of litigation, some insurance claims are not settled for several years and often involve substantial payments for legal and medical expenses. The problem confronting GEICO was that not only had it written insurance policies that were poised to create an underwriting loss, but its estimates for earlier reserves were inadequate as well.

In 1970, Davidson retired and was replaced by David Kreeger, the Washington lawyer. Running the company fell to Norman Gidden, who had served as president and chief executive officer. What happened next suggests that GEICO was attempting to grow out of its reserve mess created in 1969 and 1970. Between 1970 and 1974, the number of new auto policies grew at an 11 percent annual rate compared to a 7 percent average from 1965 to 1970. In addition, in 1972 the company embarked on an expensive and ambitious decentralization program that required significant investments in real estate, computer equipment, and personnel.

By 1973, the company, facing fierce competition, lowered its eligibility standards to expand its market share. Now GEICO's automobile drivers, for